Chapter Finance Best Practices

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Reasons to Accept Payment

- You receive direct sponsorship funds that subsidize or pay for your Chapter's events
- You need to pay for catering, food and beverage, facility rental, marketing collateral, fees to incorporate, etc.
- You charge a fee to attend events, such as an annual conference, and need a method to process and accept payments (and refunds)
- For a more mature chapter, you might charge annual dues, to defray costs, and to distinguish between a member and non-member.
  - Most of our Chapters are not mature enough to do this (APAC has some exceptions).
  - Most CSA Chapters do not charge for regular Chapter events.
  - CSA does not charge annual dues for Chapters.
- Your Chapter has executed a revenue sharing opportunity with CSA Global and needs to accept funds

Importance of Formality

Having a nonprofit corporation legal structure or going under the fiscal sponsorship of another nonprofit corporation, is important for two main reasons:

1) accounting of money
2) avoiding personal liability.

Accounting: If there is any money flowing into and out of the entity, it is important to have structure and formality. If the entity is accepting money for a particular purpose, a donor relationship and an implied legal obligation to use the funds for that particular purpose is created. With this obligation comes the responsibility to account for the care and expenditure of funds. It is necessary to open a separate bank account so that the money is not commingled with personal money. To open a checking account for the new nonprofit a bank will ask for a banking resolution adopted by a board of directors. Using a personal checking account for an organization's business invites suspicion from others involved and might complicate an individual's personal tax situation.

Avoiding Personal Liability: Having a separate corporate entity, such as a nonprofit corporation, provides protection to individuals from personal liability. This means that if something goes wrong and someone makes a claim that they suffered some injury in the course of the work of the project, the claim will be against the nonprofit corporation and not the individual volunteer or employee. If there is no corporate entity and there is an accident in the course of the work, those involved can be sued personally.

Simplify Chapter Management and Overhead:

If possible, avoid a direct exchange of funds, especially at startup, and arrange for reciprocal services and direct payment by sponsors. Most expenses can be paid directly by a sponsor.

This is especially true in countries outside the U.S., where forming legal entities or opening a Chapter bank account can be difficult.

It is also possible to set up a fiscal sponsorship, which is a formal arrangement where a 501(c)(3) public charity sponsors a project that may lack exempt status. This alternative to starting your own nonprofit allows you to seek grants and solicit tax-deductible donations under your sponsor's exempt status.

Payment Processing

- Your Chapter wants to open a bank account
    - Checking account to accept or receive funds
    - Debit card for payments may need to open a checking account
    - Add at least two authorized chapter signers (usually the Treasurer/CFO function, plus President and maybe the Secretary, or Vice President if that role exists

- Some banks will require your chapter to be a legal entity to form

- Reference the SOP document online for more on legal formation
    - Requirements are unique to the bank and to some countries

- Decide how you will accept payments. Credit cards, PayPal, or a suitable alternative in your region.

- You can accept payments through Eventbrite, which is also a registration vehicle. They charge a fee per transaction, but it's worth it. The money also has to be tied to a bank account (where funds transfer). Eventbrite is free to use otherwise. Other platforms are available, for a fee.

Catering/Food & Beverage Costs

If you do not take payment in advance, and for free attendance, you will always have a large number of no shows—25-50%. Count on it, and order food accordingly. Un-registered walk-ins will offset some but not all of the no-shows. Build it into your expectations. The more reminders you send, the more accurate your number will be. Every reminder should have a way to easily cancel.

Financial Responsibility

If you open a bank account, make sure you provide regular financial reporting at board meetings, and account for incoming and outgoing funds.

A budget forecast should be approved by the board in meeting minutes. All expenses must have a valid receipt approved by more than 1 board member, excluding the board member who expensed it.

More than one person — ideally 3 — should have authority and signature access to the bank account.

Cover financial reporting in your Bylaws and board role qualifications, so you have competency and financial controls for this role. Tax filing is required once a chapter forms as a legal entity. Many chapters have gaps in this, with board role changes and a lack of oversight that can create later issues.

If your chapter loses a key role or changes board members for the financial function, changes need to be made to the bank accounts immediately. Some chapters ignore this and it can become a problem.

Revenue Sharing

- There are numerous opportunities for revenue sharing.
    - Act as procuring cause of CSA Global Corporate/Enterprise membership
    - Act as procuring cause of sponsorship for a Chapter produced research webinar
    - Being an authorized Training Provider and hosting a CCSK training
    - Co-Hosting an event Forum with CSA Global
    - Publishing a whitepaper through the CSA Research Lifecycle, which receives Corporate Member sponsorship
    - Act as procuring cause of CCSK exam bulk token sales
    - Act as procuring cause of CSA Global on-site training delivery
    - Act as procuring cause of bulk Knowledge Center license sales

Your chapter must have the ability to receive funds to participate in revenue sharing — a bank account.